	Retained earnings January 1, 2025	Income fiscal 2025	Balance sheet December 31, 2025	Income fiscal 2026	Balance sheet December 31, 2026
Item missed at the end of 2024	**Adjusted**	**Reverses**	No effect	No effect	No effect
Item missed at the end of 2025	No effect	**Adjusted**	**Adjusted**	**Reverses**	No effect
Item missed at the end of 2026	No effect	No effect	No effect	**Adjusted**	**Adjusted**

Each item here is one that the next year records, such as a cutoff difference, so it reverses there. A balance that persists, such as one with no document behind it, does not reverse and needs an analysis of its own. An error that recurs every year can leave income nearly right while the balance sheet stays wrong.

Correction of an error

The facts existed at the year-end and were missed or misapplied. The correction goes to the period in which they existed: when the error is material to the prior statements, the prior year's figures are restated, and an earlier error enters opening retained earnings.

Change in estimate

The year-end estimate was reasonable on the facts then available. A later difference goes to the period in which it becomes known, and to later periods if they are affected. Nothing is restated.